

JUMPING IN

▶ PIRAMAL CAPITAL & HOUSING FINANCE LTD

Loan book: ₹60,000 crore

Focus areas: Home loans, merchant loans, used cars and affordable housing

Prize catch: Acquired stressed housing finance entity DHFL Ltd

▶ POONAWALLA FINCORP PVT. LTD

Loan book: ₹17,660 crore

Focus areas: Consumer loans, business loans and MSME lending

Prize catch: Took over Kolkata-based NBFC Magma Fincorp

▶ DBS BANK INDIA LTD

Loan book: ₹43,898 crore

Focus areas: Large corporations, SMEs and consumer loans

Prize catch: Acquired private sector Lakshmi Vilas Bank

▶ GODREJ CAPITAL LTD

Loan book: ₹1,775 crore

Focus areas: Business loans, home loans and loans against property

Prize catch: Tapping the group's large ecosystem of wholesalers and retailers

DATA AS OF MARCH 2022

came from 50 different companies—mostly from financial services. “[Only] our first couple came from within the group,” says Shah, who was employee No. 5. “There is a clean slate in terms of bringing people on board with a clear understanding,” he adds. In fact, the requirements for talent are very specialised in the technology and fintech space. “The company’s CTO joined from Amazon... We believe that very different kinds of talent are required to run some of these functions today,” says PCHFL’s Sridharan.

Another big challenge is access to low-cost funds as NBFCs do not have access to current and savings accounts or CASA, as banks do. Chaudhari, however, begs to differ. “The cost of funds is really not a challenge for us. We are one of the AA-plus rated entities.... The kind of equity we have makes us get funds at one of the most competitive rates in the industry,” he says.

Both on the equity and debt side, the key raw material for scaling up an NBFC business is capital, and the new players are preprepared. There is a strong equity commitment from the groups with access to a diverse pool of debt capital. “If there is an opportunity to bring in a strategic equity partnership, I think the group is well placed for that,” says Shah. Godrej has committed ₹5,000 crore in capital over the next four to five years.

DBS, meanwhile, has improved its CASA deposits from 14-15 per cent of deposits a few years ago to about 30 per cent-plus. “Given our network, we are hopeful of getting close to 40 per cent,” says Shome. The bank has a fairly large corporate deposit base, which is diversified between large corporations and multinationals. “A large part of our SME and corporate business is also short-term because it’s mostly trade finance,” says Shome. The bank will build a liability base that matches its asset profile. The Piramals also have a deposit licence from DHFL which is pending with the RBI.

The next logical extension for these new players would be to expand the business to mutual funds, insurance, and other financial services. As part of the acquisition, the Poonawalla Group got an insurance company, Magma HDI, that operates in the general insurance space. “As of now, we are not looking at any other new lines of business,” says Chaudhuri.

The Piramals also got a life insurance business along with the DHFL acquisition. DHFL had a 50 per cent stake in Pramerica Life Insurance, which is now part of the Piramal Group. The business suffered for want of capital as DHFL’s promoters were not in a position to pump in additional capital. As a result, the life insurer’s ranking plummeted from the eighth largest in terms of premium collection before the DHFL crisis, to the 20th position now. Sridharan jokes that the only way is up from here. “We are working with insurance regulator IRDAI to get in as a promoter. We have re-shuffled the entire board,” says Sridharan, who has also joined the board as chairman. The Piramals claim to have a strategy and a structure in place which they believe can move this business forward. “You will see us making investments in that business, better integration of the business into some of our [other] businesses, and a more aggressive Pramerica in terms of originating insurance policies... We like mutual funds, general insurance a lot. We will keep watching the financial services space,” says Sridharan.

Clearly, the ambitions of these new players are not just restricted to lending alone. Watch this space for more action. **BT**

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